

Q3 2025

Custom Managed Portfolios

GMO U.S. Equity

Quick facts

Asset class:
U.S. Equity Core

Management style:
Blend¹

Number of holdings:
43

Sub-advisor:
GMO

Portfolio manager:
Aviso Wealth

Minimum investment:
\$150,000

Inception Date:
January 31, 2004



What does the strategy invest in?

The strategy seeks to generate total return by investing primarily in U.S. equities the Focused Equity team believes to be of high quality. The team believes that companies with established track records of historical profitability and strong fundamentals – high quality companies – are able to outgrow the average company over time and are therefore worth a premium price. The strategy's disciplined approach uses both quantitative and fundamental techniques to assess the relative quality and valuation of global companies and aims to exploit a long-term investment horizon while withstanding short-term volatility.

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	8.6%	10.5%	15.9%	26.6%	20.2%	18.6%	12.1%
Benchmark ⁵	10.3%	11.1%	21.1%	25.4%	17.4%	15.7%	7.8%

Calendar year returns

	2024	2023	2022	2021	2020	2019	2018
Portfolio	32.0%	30.4%	-8.9%	31.5%	15.7%	26.8%	10.9%
Benchmark ⁵	36.4%	22.8%	-12.2%	27.6%	15.8%	24.8%	4.2%

Standard deviation	11.92%	Sortino ratio	1.56	Downside capture	75.6%
Sharpe ratio	0.88	Beta (Equity)	0.87	Upside capture	95.9%

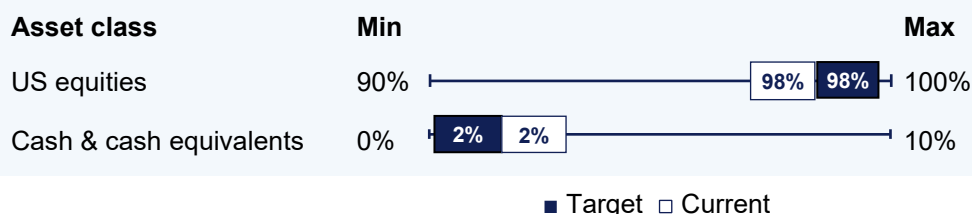
Largest holdings²

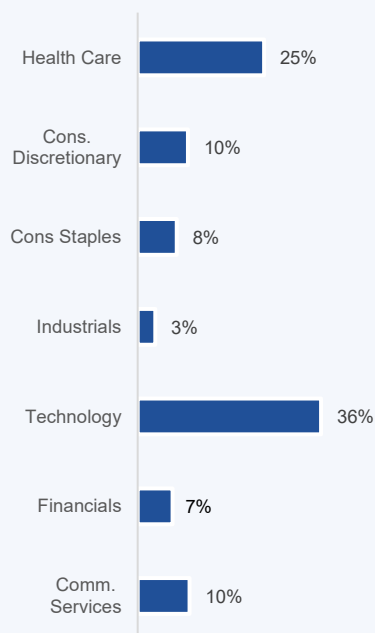
1. Microsoft Corp	6.8%	6. LAM Research Corporation	4.0%
2. Alphabet Inc	6.1%	7. Thermo Fisher Scientific	3.8%
3. Apple Inc	4.7%	8. Johnson & Johnson	3.7%
4. Taiwan Semiconductor	4.6%	9. Broadcom Inc	2.9%
5. Meta Platforms Inc.	4.0%	10. Abbott Labs	2.8%

Portfolio attributes

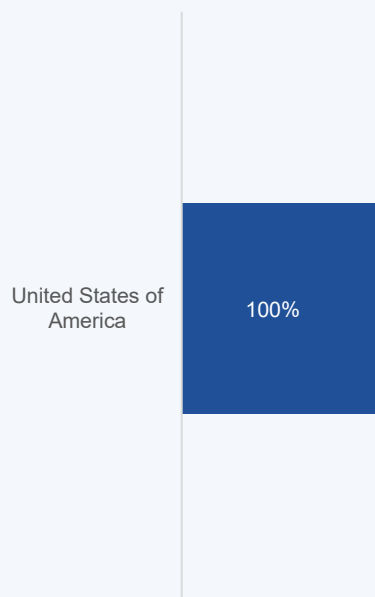
Dividend yield	Average Trailing P/E	Average Forward P/E	Average Trailing P/S	Average Forward P/S	Average market cap	Portfolio turnover
1.43%	29.01	23.56	7.50	6.44	1,032.6B	40%

Target allocations



Sector breakdown²

Geographic allocation



Quarterly commentary

Global Markets

Global equity markets advanced 7.62% over the quarter (MSCI All-Country World Index), while global markets excluding the U.S. gained 6.89% (MSCI ACWI ex-US). The rally reflected easing trade tensions, optimism over technological innovation, and expectations that major central banks would begin loosening policy. The U.S. Federal Reserve delivered its first rate cut of the year in September, which supported global valuations. Improving sentiment and ongoing enthusiasm around artificial intelligence (AI) further boosted equities to new highs despite lingering inflation risks.

Broad Markets

Canada was the best-performing equity market globally, with the S&P/TSX Composite Total Return Index up 12.50%, while the MSCI EAFE Index was the weakest, returning 4.77%. Canada's outperformance stemmed from its heavy resource and financial exposure—both of which surged as gold and base metals rallied and financial conditions stabilized. The Materials sector climbed over 37%, driven by record gold prices. Conversely, Europe and Asia lagged amid sluggish growth. Germany's market fell into negative territory, pulling down the MSCI Europe ex-UK Index to +2.8% and weighing on international performance overall.

Broad Markets (CAD)

In Canadian dollar terms, returns were lifted by currency movements. The MSCI Emerging Markets Index (CAD) returned 13.05%, while the MSCI EAFE Index (CAD) gained 7.04%. The weaker Canadian dollar—down roughly 2.3% against the U.S. dollar—boosted foreign equity returns for Canadian investors. Emerging Asia's tech-led rebound translated into double-digit CAD gains, while Europe's modest performance improved to just over 7%. Currency effects enhanced global portfolio results even as Canadian equities led in local terms.

Canadian Markets

The S&P/TSX Composite Index advanced 12.50% in Q3. Small-cap stocks outperformed sharply, with the S&P/TSX SmallCap Index up 20.86%, versus the S&P/TSX 60's 11.52% gain. The rally reflected renewed investor risk appetite and cyclical strength. Junior mining and energy firms led advances alongside rising commodity prices, while larger banks and telecoms posted more moderate gains. Canada's market benefited from its sector composition—resources and financials—which aligned with the quarter's themes of reflation and risk-on sentiment.

TSX Sectors

Top-performing sectors were Materials, Information Technology, and Energy.

- Materials surged on record gold prices, with miners like Barrick Gold up over 60%.
- Information Technology climbed more than 13%, led by Shopify's 30% advance on strong merchant growth.
- Energy rose about 11%, supported by mid-quarter oil strength and resilient demand expectations.

The weakest sectors were Consumer Discretionary, Consumer Staples, and Industrials, all posting low single-digit returns. Consumer names faced headwinds from high interest rates and constrained household budgets, while defensives underperformed in the risk-on environment. Industrials fell roughly 1.6% as transportation and capital goods stocks saw profit-taking.

US Markets

U.S. equities delivered robust gains, with the S&P 500 up 8.12%, the NASDAQ Composite +11.41%, and the Dow Jones Industrial Average +5.67%. Small-caps also rebounded, with the Russell 2000 Index up 12.39%. A mix of cooling inflation, steady earnings, and expectations for Fed rate cuts fueled optimism. The Federal Reserve's 25 bps September rate cut—the first in years—marked a policy shift that energized risk assets.

Mega-cap technology firms dominated performance. Tesla rose nearly 40%, Alphabet gained 38%, and the "Magnificent Seven" (including Apple, Microsoft, and NVIDIA) drove record highs. Value-oriented and defensive stocks lagged, while growth and AI-related names led.

S&P 500 Sectors

Top performers were Information Technology (+13%), Communication Services (+12%), and Consumer Discretionary (+9%), benefiting from AI momentum, cloud demand, and resilient consumer spending. Alphabet and Amazon—both in these sectors—helped lift results.

The weakest were Materials (+2.6%), Real Estate (+1.7%), and Consumer Staples (-2.9%). Materials struggled outside of precious metals, Real Estate faced valuation pressure from higher yields, and Consumer Staples declined as pricing power faded and investors rotated to growth sectors. Overall, cyclicals and growth stocks outpaced defensives.

International Developed Markets

Performance across developed EAFE markets was uneven. The strongest were Spain, Japan, and Austria. Spain's banking sector and improved political stability supported gains, while Japan's TOPIX Index rose about 11%, helped by a weaker yen and ongoing governance reforms. Austria benefited from industrial and financial strength.

The weakest were Norway, Germany, and Denmark. Norway's market was hurt by softer oil prices, Germany by manufacturing weakness and high energy costs (MSCI Germany -1%), and Denmark by sluggish pharma and logistics sectors. Overall, Japan's rally offset Europe's stagnation, leading the MSCI EAFE Index to a 4.8% gain.

Emerging Markets

Emerging markets outperformed developed peers, rising over 10% in local terms. Gains were led by China, Taiwan, and South Korea, while Brazil, Indonesia, and India lagged. China's tech shares rebounded strongly, with the Hang Seng Tech Index up 22%, helped by policy support for chipmakers and an extension of the U.S.-China trade truce. Taiwan climbed 14% on semiconductor demand, and South Korea benefited from tech and export recovery.

Brazil and Indonesia were weighed down by lower commodity prices, while India paused after earlier strength, constrained by a weaker rupee and profit-taking. Overall, EM strength came from Asia's technology rebound and policy optimism, offsetting commodity weakness elsewhere.

Global Factors

Growth stocks outpaced value by 2.75 percentage points, with the MSCI World Growth Index up 8.58% versus 5.83% for Value. Growth benefited from lower yields and strong tech performance as investors rotated back into higher-duration equities. Excitement over AI and easing policy expectations drove growth leadership, while value-heavy sectors like financials and energy lagged. This quarter marked a reversal from 2022's value dominance as investors rewarded earnings visibility and innovation themes.

Bond Markets

Global bonds delivered mixed but generally positive returns. The Bloomberg Emerging Markets Aggregate Index led with +3.40%, as EM central banks' early rate cuts and tightening spreads boosted performance. The Bloomberg Global Aggregate ex-US Index fell 0.59%, hurt by a stronger U.S. dollar and rising yields in some foreign markets. The Bloomberg Global Aggregate Index rose ~0.6%, supported by a late-quarter U.S. Treasury rally. Bonds initially benefited from growth concerns before yields edged higher in September. Overall, investors favored higher-yielding segments, with EM and corporate debt outperforming safe-haven government bonds.

Canada Bonds

Canadian fixed income produced positive results. The Bloomberg Canada Corporate Index gained 1.73%, outperforming the Canada High Yield Index at 0.46%. Investment-grade corporates benefited from stable spreads and modestly lower yields. Canada's smaller high-yield segment lagged due to investor caution and specific weaker credits. Overall, investment-grade corporates provided the best risk-adjusted returns, reflecting preference for quality carry amid steady conditions.

Returns were nearly identical across durations, as short-term and long-term bonds both returned around 1.1%. The yield curve experienced a parallel downward shift. Both 2-year and 30-year Government of Canada bond yields fell by similar amounts, producing uniform results across maturities. This symmetry aligns with the Bank of Canada's steady policy stance and market expectations for eventual rate cuts.

Investment manager overview



Founded in 1977, GMO is a private partnership committed to delivering superior investment performance and advice to clients. GMO offers strategies where the manager believes they are positioned to add the greatest value for investors. GMO offers investment strategies in many of the major asset classes (e.g., U.S., non-U.S., emerging and global equities and fixed income), as well as multi-asset class, absolute return and alternative strategies. Within these strategies, a range of investment styles, market capitalizations, and types of securities may be represented. GMO's investment strategies are implemented via pooled vehicles and/or primarily through discretionary advice provided to separately managed accounts.

Investment philosophy

The strategy seeks to buy equity securities of high quality companies that were judged to be trading at attractive valuations considering the fundamentals of the underlying business. The manager often seeks entry points when a great company is under a "temporary cloud" i.e. adverse conditions that the market extrapolates too far forward. The philosophy can trace its roots back to Jeremy Grantham's systematic research in the early 1980s when he and colleagues devised a way to assess company quality using a few simple backward-looking metrics. The thinking is also steeped in GMO's valuation-driven culture. Over the years, the manager's view of company quality has been enhanced with fundamental analysis to orient the assessments in a more forward-looking direction while the valuation approach has evolved into a framework powered by that fundamental analysis.

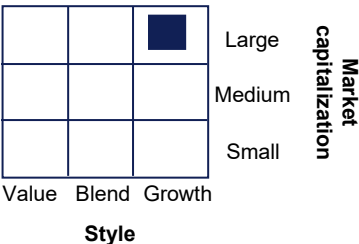
Investment process and risk controls

The strategy uses quantitative and fundamental techniques to assess the relative quality (ability to deliver high returns and strong earnings power over a cycle) of companies in a broad universe of investable securities tied to the U.S. economy.

First, a quality universe is formed using quantitative screens and fundamental inputs. The manager maintains a raw universe of around 200 securities sourced from screens and ideas from the investment team. Second, a vetted universe of around 100 securities, a subset of the raw universe, is maintained. These companies are vetted by analysts for prospective quality, emphasizing identifiable assets with high return on capital, long-term relevance, and disciplined management. Third, a model portfolio is formed based on valuation, primarily using a proprietary discounted cash flow (DCF) calculation. Finally, the final portfolio is shaped using judgment, with attention to diversification and other considerations.

The team regularly reviews exposures to ensure that no single risk factor dominates the portfolio and uses a traffic light system to vet securities for quality and risk. The manager collaborates closely with analysts to monitor industry, geographic, and thematic risks, adjusting allocations as needed. The team focuses on fundamental risks over statistical measures. At the portfolio level, the manager assesses common exposures. Diversification and position sizing help limit adverse impacts. The manager also exercises judgment in risk oversight. The strategy is benchmark agnostic, viewing risk through an absolute lens. Over time, the strategy has demonstrated resilience in volatile markets, with lower volatility and beta than broad indices, reflecting the inherent stability of its holdings.

Equity style²



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada's largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately \$130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada's largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada's credit unions and Desjardins



¹ Blend – Combination of growth and value investment style

² As of November 19, 2025

³ Style represents the aggregate characteristics of the underlying holdings within this model. Market capitalization measures the aggregate market value of the outstanding shares of a company. Large-cap stocks are defined as the group that accounts for the top 70% of the capitalization of each geographic area; mid-cap stocks represent the next 20%; and small-cap stocks represent the balance.

The return data is as at September 30, 2025. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

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⁵ The benchmark is S&P 500 TR Index (CAD)

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